Bharat Electronics Limited

NSE: BEL | BSE: 500049 | Sector: Defence Electronics / Aerospace & Defence | Founded: 1954 | HQ: Bengaluru
CMP: Rs.409 | 52W H/L: Rs.473/Rs.256 | Mkt Cap: Rs.3,00,000 Cr | P/E: ~52x | Div Yield: ~1.0%

Bharat Electronics Limited (BEL) is a Government of India Navratna Public Sector Undertaking (PSU) under the Ministry of Defence. Established in 1954 and headquartered in Bengaluru, the company holds a 51.14% government stake. BEL serves as a primary manufacturer of aerospace and defence electronics for the Indian Armed Forces, focusing on the design, development, and supply of strategic systems. While its core business is domestic defence, the company also operates in the civilian market and is expanding its international presence through exports and global supply chain integration.

Investment Thesis & Rating

- Unparalleled order book visibility: Rs.73,450 Cr order backlog (~3.2x trailing revenue) provides 3+ years of revenue certainty. New orders running at Rs.25,000+ Cr/year.
- India's defence capex tailwind: Defence budget at Rs.6.2 Lakh Cr (FY26), with 75% indigenization mandate under 'Aatmanirbhar Bharat'. BEL is primary beneficiary ofimport substitution.
- Margin expansion underway: EBITDA margin improving from ~22% to 25%+ as product mix shifts towards higher-value systems. ROCE of ~40% with zero debt.
- Diversification into non-defence: Expanding into homeland security, smart cities, cyber security, metro rail signalling, and EV charging. Non-defence at ~20% of revenue.
- Consistent 20-25% earnings growth trajectory; FY25 PAT grew 32% YoY to Rs.4,483 Cr. Cash-rich balance sheet (Rs.9,397 Cr) supports capex and dividends.

Analysts Rating

BUY

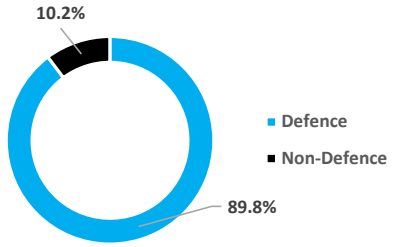
Target : ₹ 470

Note: Consensus Target (Mar 2026)

Business Model & Revenue Drivers

- Defence Electronics (80%+ of rev): Radars, electronic warfare suites, communication systems, missile sub-systems, naval systems, fire control, avionics. Core revenue driver.
- Weapon Systems (15% of rev): Missile launchers, torpedoes, underwater weapons, gun/fire control systems. Higher-margin segment growing rapidly.
- Non-Defence & Civilian (15-20% of rev): Smart city solutions, e-governance, homeland security, solar energy, EV charging infrastructure, metro rail signalling.
- Spares, Services & Upgrades (~15% of rev): Long-term maintenance contracts for installed defence equipment. High-margin annuity income stream.
- Exports (~8% of rev): Growing focus on defence exports to friendly nations under government's export push. Targeting $1 Bn in exports by FY28.

Verticals



Industry Landscape & Competitive Advantage

- India defence market: Budget ₹6.2L Cr (FY26), ~10% CAGR. Electronics & systems procurement ₹50,000+ Cr annually; 75% indigenous mandate.
- Bharat Electronics Limited: India's #1 defence electronics player (~45% share). Closest competitors: Hindustan Aeronautics Limited, DRDO, Larsen & Toubro Defence.
- Peers: HAL (₹2.8L Cr, P/E ~35x), Data Patterns (India) Limited (₹14K Cr, P/E ~60x), Paras Defence and Space Technologies (₹8K Cr).
- Barriers: PSU preference, classified tech access, long R&D ties with armed forces.
- Moats: Sole supplier for key systems, DRDO tech-transfer partner, 9 plants + central R&D, strong govt patronage.

Peer Valuation Snapshot

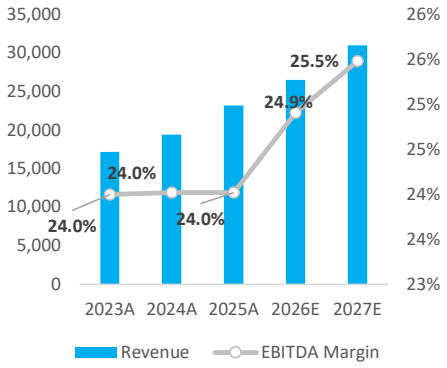
Metric	BEL	HAL	Data Pat.
M.Cap	Rs.3.0L Cr	Rs.2.8L Cr	Rs.14K Cr
P/E	~52x	~35x	~60x
EBITDA %	~24%	~28%	~30%
Order Book	Rs.73K Cr	Rs.94K Cr	Rs.2K Cr

Financial Summary & Forward Estimates

Financial Performance (In Crs)	2023A	2024A	2025A	2026E	2027E
Revenue	₹ 17,202	₹ 19,399	₹ 23,230	₹ 26,500	₹ 31,000
EBITDA	₹ 4,128	₹ 4,660	₹ 5,580	₹ 6,600	₹ 7,900
Net Profit	₹ 2,984	₹ 3,408	₹ 4,483	₹ 5,300	₹ 6,200
EBITDA Margin	24.0%	24.0%	24.0%	24.9%	25.5%
Net Profit Margin	17.3%	17.6%	19.3%	20.0%	20.0%
Adjusted Revenue Growth	14%	13%	20%	14%	17%
EPS	₹ 4.08	₹ 4.66	₹ 6.13	₹ 7.25	₹ 8.48

Note:
1. Order book at Rs.73,450 Cr (Jan-26) provides 3+ year revenue visibility.
2. Zero debt company.

Revenue with EBITDA Margin

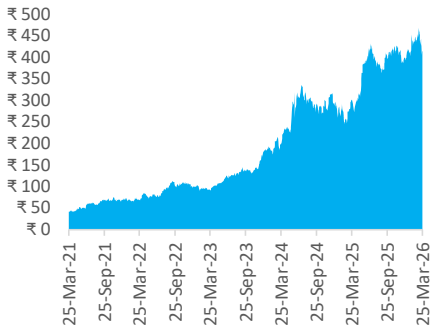


Key Catalysts & Risks

Key Catalysts

- Rs.73,450 Cr order book provides multi-year earnings visibility
- Defence budget growing at 10%+ CAGR; 75% indigenization mandate benefits BEL
- New SBUs: cyber, drones, seekers, AI/ML for defence applications
- Defence export push targeting $1 Bn by FY28; orders from friendly nations

Key Risks

- Order inflow lumpy; dependent on government procurement cycles and budget allocation
- Execution delays on large programs could impact revenue recognition timing
- Margin pressure from increased competition (private players like L&T, Adani Defence entering)
- Valuation at ~52x P/E leaves limited margin of safety if growth decelerates

Stock Price - 5 Years